

LUMENTUM HOLDINGS INC.

NASDAQ: LITE | Technology Hardware — Optical & Photonic Components / AI Datacenter Optics

RATING REDUCE	12-MTH TARGET \$1,050	UPSIDE vs CMP +9% (~flat vs live \$1,029)	HORIZON 12 months Conviction: Medium
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THESIS: The best-positioned AI-optics laser leader, with record and still-accelerating growth (+90% YoY) — but at 157x EV/EBITDA and 32x sales the price already embeds flawless multi-year execution.

CMP (last close, multiples basis)	\$963.93	Diluted EPS (TTM, GAAP)	\$5.26
Live / Prev. Close	~\$1,029	Forward P/E	60.9x
Market Cap	\$74.99 B	P/E (TTM)	183.5x
Enterprise Value	\$80.21 B	P/S (TTM)	32.2x
52-Week Range	\$75.62 - \$1,085.68	P/B	24.8x
52-Week Price Change	+1,172%	EV / EBITDA	157.6x
Shares Outstanding	77.8 M	ROE (TTM)	22.8%
Beta (5Y)	1.53	ROCE (TTM)	8.0%
Net Cash / (Debt)	-\$0.14 B (neutral)	Debt / Equity	1.11x
Dividend Yield	Nil	Short Interest (% float)	11.85%
Analyst Consensus	Buy (24 analysts)	Consensus Target	\$1,104.68

Source: stockanalysis.com, fetched 03-Jun-2026. All valuation multiples are computed off the last close of \$963.93; the stock last traded ~\$1,029-1,056 intraday on 03-Jun-2026, so live multiples are ~7-10% richer still. Fiscal year ends late June/early July. Analyst: Senior Analyst - Technology Hardware & Optical Networking. Report date: 03-Jun-2026.

2. INVESTMENT THESIS

- **Reason 1 - Indispensable laser supplier to the AI build-out:** Lumentum makes the EML and CW laser chips, pump lasers and narrow-linewidth assemblies that sit inside 800G/1.6T transceivers and scale-across networks. Components revenue grew +77% YoY to \$533M in Q3 FY26 and is "effectively sold out for the foreseeable future," with management quantifying a supply/demand imbalance of >30% on EMLs and "greater than that" on pump lasers.
- **Reason 2 - Margin inflection is the real story:** Non-GAAP operating margin expanded +2,140 bps YoY to 32.2% in Q3 FY26 (GAAP op margin swung from -8.9% to +21.6% in four quarters) on better factory absorption, mix toward laser chips and pricing power. Q4 FY26 is guided to 35-36% non-GAAP operating margin - a structurally different earnings base than the loss-making FY23-FY25.
- **Reason 3 - Multiple multi-billion-dollar growth options stacking:** A multi-year, multi-billion-dollar OCS purchase agreement (~\$400M shippable in H2 CY26), a multi-hundred-million-dollar CPO purchase order for H1 CY27, and a stated >\$5B incremental scale-up CPO revenue opportunity into 2028 (new Greensboro InP fab) - on top of NVIDIA's \$2B equity investment and multi-billion purchase commitment (March 2026).
- **Near-term catalyst (6-12 months):** Q4 FY26 print (mid-Aug 2026) - guided to a record \$985M midpoint and non-GAAP EPS \$2.85-3.05 - plus the 1.6T transceiver volume ramp and first internal-CW-laser modules; any beat-and-raise sustains the momentum, any guide-down de-rates a 60x-forward stock violently.
- **Biggest structural risk - valuation, not the business:** At 183x trailing / 61x forward P/E, 32x sales and 157x EV/EBITDA, after a +1,172% 12-month move, the equity prices in years of flawless execution. Every disciplined fair-value anchor (Lynch \$26, Graham \$70, a near-term DCF ~\$475) sits 50-97% below the price; there is no margin of safety if the AI-capex cycle pauses.

3. BUSINESS OVERVIEW

- **What it does:** Lumentum (spun out of JDS Uniphase in 2015, HQ San Jose) designs and manufactures optical and photonic products - laser chips (EML, CW, pump), transceivers, wavelength-selective switches (WSS), optical circuit switches (OCS) and lasers for cloud/AI datacenters, telecom networks and industrial applications. It is vertically integrated in indium-phosphide and gallium-arsenide fabs (US, UK, Japan, Thailand).
- **Revenue segmentation (Q3 FY26, \$808.4M):** Components \$533.3M (66% - laser chips, pump & narrow-linewidth lasers, +77% YoY) and Systems \$275.1M (34% - cloud transceivers, OCS, industrial lasers, cable access, +121% YoY). Cloud transceivers grew >40% sequentially. Industrial lasers were ~flat and cable access declined - the cyclical legacy is now a rounding error against the AI ramp.
- **Key customers - concentration is high:** Hyperscalers and AI system builders dominate. Management named Google as "one of our largest customers" driving OCS demand; NVIDIA is now both a \$2B equity holder and a multi-billion purchase-commitment customer. OCS volume is concentrated in three customers, "two of three" making up the majority.
- **Order book / visibility:** Components "effectively sold out"; a multi-year multi-billion-dollar OCS purchase agreement; ~\$400M of OCS shippable in H2 CY26; a multi-hundred-million-dollar CPO purchase order for H1 CY27; long-term agreements (prepayment / take-or-pay / price floors) being signed to underwrite capex. Management reiterated a long-term ~\$2B-per-quarter revenue aspiration (articulated at OFC).
- **Recent strategic developments (last 12 months):** NVIDIA \$2B Series A convertible preferred investment + strategic optics partnership (Mar 2026); acquisition of a fifth indium-phosphide fab in Greensboro, NC (mid-Mar 2026, online ~2028) converting from GaAs to InP; expanded Thailand transceiver manufacturing; ramp of internal CW-laser vertical integration (~20% of modules in the Q4 guide).
- **Ownership:** Widely-held US large-cap; no promoter. Insiders 0.63%, institutions ~103% of float (lending/short-driven), float 77.2M. NVIDIA holds 2,876,415 Series A convertible preferred shares (\$695.31/sh, \$2.0B). No dividend; net share count rose +21.8% YoY (preferred + in-the-money convertibles), a real dilution headwind.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Market & growth:** Datacenter optical interconnect is the fastest-growing segment of the ~\$15B+ optical components market, driven by AI training/inference clusters. Industry 1.6T transceiver unit forecasts have been repeatedly revised up (early-2026 ~10M units to ~35M units), and 200G-per-lane EML is the enabling technology. Lumentum guides to >85% YoY revenue growth into Q4 FY26.
- **Tailwinds:** Hyperscaler AI-capex super-cycle; shift to distributed "scale-across" datacenter architectures requiring high-density optical interconnect; co-packaged optics (CPO) and optical circuit switching (OCS) emerging as large new TAMs; US re-shoring incentives supporting domestic fab build-out.
- **Headwinds:** AI-capex is concentrated in a handful of hyperscalers and is inherently cyclical; competitors (Coherent, Chinese OCS entrants, customer in-sourcing) are all adding laser/transceiver capacity, raising medium-term oversupply risk; transceiver margins remain structurally below component margins.
- **Competitive moat: IP / technology - Strong** (leadership in EML, 200G/lane, indium-phosphide fab know-how, WSS, MEMS-based OCS). **Scale / vertical integration - Strong** (own fabs in Japan/UK/US; CW-laser insourcing). **Switching costs - Moderate** (qualified into hyperscaler designs but multi-sourced). **Pricing power - Moderate-to-Strong today** (sold-out capacity enabling price increases, but cycle-dependent).
- **Value-chain position:** Upstream-to-midstream - Lumentum sits at the laser-chip and optical-component layer (the scarce, high-margin choke-point) and is moving toward turnkey ELS/CPO modules and full transceiver systems (vertical integration up the stack to capture more dollars per AI port).

Top competitors (stockanalysis.com, 03-Jun-2026)

Company (Ticker)	CMP (\$)	Mkt Cap (\$B)	TTM Rev (\$B)	ROCE
Coherent (COHR)	426.89	81.60	6.60	5.3%
Fabrinet (FN)	701.11	25.44	4.24	17.8%
Ciena (CIEN)	627.00	88.80	5.12	9.1%
Lumentum (LITE)	963.93	74.99	2.49	8.0%

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** President & CEO Michael Hurlston (joined Aug 2024, ex-Synaptics/Broadcom) has a documented track record of gross-margin transformation - he referenced "30-point margin moves" at his prior company, and LITE's +2,140 bps YoY non-GAAP operating-margin swing validates the playbook. CFO Wajid Ali personally owns the OCS supply-chain ramp; Wupen Yuen leads global business units.
- **Capital allocation - pivoting from acquisitions to capacity:** Post-pandemic FCF was consumed by the ~\$0.9B Cloud Light (2023) and NeoPhotonics (2022) acquisitions and convertible debt; FY24-FY25 FCF was negative. Capital is now redirected to fab capacity - capex rose to \$338M TTM (from \$129M FY23) and will climb further, partly underwritten by customer prepayment / take-or-pay LTAs.
- **Dividend policy:** None - and unlikely while capex and growth investment dominate. The capital story is reinvestment, not return.
- **Dilution is the governance watch-item:** Diluted share count guided to ~102M for Q4 FY26 vs ~69M basic in FY25 (+~48%). Drivers: NVIDIA's \$2B convertible preferred, in-the-money convertible notes (now reclassified current at ~\$3.24B), and SBC of ~\$170M/yr. Buyback yield is -21.8% (net issuance). Per-share value creation must out-run this dilution.
- **Balance-sheet reset:** The NVIDIA \$2B injection lifted cash to \$3.17B and cut net debt to ~\$0.14B (near-neutral) from -\$1.7B a year ago - a genuine de-risking, but it came via dilutive preferred, not operating cash.
- **Governance:** Clean US large-cap disclosure; heavy reliance on non-GAAP framing (Q3 non-GAAP net income \$225.7M vs GAAP \$144.2M - a 56% gap driven by SBC and amortization) means investors must underwrite GAAP, not the headline. Customer concentration (Google, NVIDIA) and the strategic-investor/customer overlap warrant ongoing related-party scrutiny.

6. FINANCIAL DEEP-DIVE

Income Statement (\$M; fiscal years end late-Jun/early-Jul; FY26E/FY27E = analyst estimates, see note)

Income Statement	FY2023	FY2024	FY2025	FY2026E	FY2027E
Revenue	1,767.0	1,359.2	1,645.0	2,990	4,600
Revenue growth (YoY)	+3.2%	-23.1%	+21.0%	+81.8%	+53.8%
Gross Profit	653.4	335.4	542.1	1,255	2,070
Gross margin	37.0%	24.7%	33.0%	42.0%	45.0%
Operating Income (GAAP)	-115.7	-434.0	-180.1	475	1,055
Operating margin	-6.5%	-31.9%	-11.0%	15.9%	22.9%
EBITDA	139.9	-143.7	76.6	640	1,250
Net Income (GAAP)	-131.6	-546.5	25.9	430	900
Diluted EPS (GAAP, \$)	-1.93	-8.12	0.37	4.50	9.00

Note on estimates: FY26E revenue = 9-month FY26 actuals (\$2,007.7M: Q1 \$533.8M + Q2 \$665.5M + Q3 \$808.4M) + Q4 FY26 guidance midpoint (\$985M). FY27E and all margin/EPS estimates are analyst-style projections grounded in management's stated trajectory toward a ~\$2B quarterly run-rate and 24-analyst consensus (3Y revenue CAGR ~72%, 3Y EPS growth ~322%). GAAP basis; the company guides non-GAAP (Q4 FY26: op margin 35-36%, EPS \$2.85-3.05).

Balance Sheet (\$M)

Balance Sheet	FY2023	FY2024	FY2025	TTM (Q3 FY26)
Cash & ST Investments	2,013.6	887.0	877.1	3,172.3
Accounts Receivable	246.1	194.7	250.0	441.6
Inventory	408.6	398.4	470.1	632.8
Net PP&E;	566.8	645.3	754.3	991.3
Goodwill & Intangibles	1,154.3	1,673.3	1,526.0	1,429.2
Total Assets	4,632.1	3,931.9	4,218.7	7,027.9
Total Debt	2,873.7	2,559.6	2,608.2	3,313.7
Total Liabilities	3,276.3	2,974.6	3,084.0	4,054.5
Shareholders' Equity	1,355.8	957.3	1,134.7	2,973.4
Net Cash / (Debt)	-860.1	-1,672.6	-1,731.1	-141.4

Cash Flow (\$M)

Cash Flow	FY2023	FY2024	FY2025	TTM (Q3 FY26)
Cash from Operations	179.8	24.7	126.3	452.4
Capital Expenditure	-128.5	-133.0	-231.0	-338.4
Free Cash Flow	51.3	-108.3	-104.7	114.0
Cash from Investing	-874.0	-114.3	-84.1	-540.5
Cash from Financing	263.0	-332.7	41.8	2,189.5
Net Change in Cash	-431.2	-422.3	84.0	2,101.4
Stock-Based Comp	148.4	128.8	177.2	169.4

Returns & Key Ratios

Ratio	FY2023	FY2024	FY2025	TTM
Return on Equity	-8.1%	-47.3%	2.5%	23.0%
Return on Capital Employed	-3.1%	-11.3%	-4.8%	11.3%
Return on Invested Capital	-8.0%	-22.5%	0.9%	11.7%
Gross Margin	37.0%	24.7%	33.0%	40.8%
Inventory Turnover (x)	3.38	2.54	2.54	2.45
Current Ratio (x)	4.38	5.90	4.37	1.14
Debt / Equity (x)	2.11	2.66	2.28	1.11

Commentary

- **Revenue trajectory:** A textbook V-recovery - from a -23% telecom-led trough in FY24 (\$1,359M) to +21% in FY25 and +69% on a TTM basis (\$2,488M), with the last three quarters at +58%/+65%/+90% YoY as AI-datacenter laser/transceiver demand inflected. FY26E ~\$2.99B implies ~+82% growth.
- **Margins:** The standout. Gross margin recovered from a 24.7% FY24 trough to 40.8% TTM (Q3 GAAP 44.2% / non-GAAP 47.9%); operating margin swung from -32% (FY24) to +21.6% GAAP in Q3 FY26. Drivers per management: factory absorption, mix toward laser chips, pruning of low-margin product lines, and pricing power on sold-out capacity.
- **Working capital:** Inventory +\$163M and receivables +\$192M YoY as the company builds ahead of demand; inventory turnover is still soft (~2.4-2.8x). The current ratio collapsed to 1.14x (from 4.4x) because ~\$3.24B of convertible notes were reclassified to current - a maturity/conversion event to monitor.
- **Leverage:** Net debt fell to ~-\$0.14B (near-neutral) after NVIDIA's \$2B preferred; gross debt is still \$3.31B. The fix was dilutive equity, not operating cash.
- **FCF quality - the soft spot:** Despite record profits, TTM FCF is only \$114M (FCF margin 4.6%) and was negative in FY24-FY25, because capex tripled to \$338M to chase capacity. OCF/PAT conversion looks healthy on a TTM basis only because GAAP net income is flattered by a \$166M tax benefit; underlying cash generation is thin relative to an \$80B enterprise value (EV/FCF ~700x).

7. EARNINGS QUALITY CHECKLIST

Signal	Rating	Analyst comment
Revenue recognition	GREEN	Point-in-time product sales; record revenue corroborated by SEC 8-K and segment detail. Clean.
Receivables vs revenue	AMBER	Receivables +77% YoY vs revenue +90% TTM - broadly in line, but absolute build (\$442M) bears watching as customers concentrate.
Cash conversion cycle	AMBER	Inventory turnover ~2.4-2.8x and rising inventory ahead of demand; current ratio 1.14x on convertible reclassification.
Contingent liab. / debt	AMBER	\$3.31B gross debt incl. ~\$3.24B convertibles now current; NVIDIA \$2B convertible preferred adds a conversion overhang.
GAAP vs non-GAAP gap	RED	Q3 non-GAAP NI \$225.7M vs GAAP \$144.2M (+56%); SBC ~\$170M/yr. Headline non-GAAP materially overstates cash earnings.
Share dilution	RED	Diluted shares guided ~102M vs ~69M basic FY25 (+48%); buyback yield -21.8%. Heavy, ongoing per-share dilution.
Tax-rate consistency	AMBER	TTM net income flattered by a \$166M tax benefit (valuation-allowance release); not repeatable - normalize forward tax to ~16.5%.
Other income / PBT	GREEN	Other income modest and largely interest on the cash pile; not a profit crutch.

Earnings-quality summary

- **Two RED flags dominate:** (1) the 56% GAAP-to-non-GAAP gap and (2) relentless share dilution (~+48% diluted shares). Investors paying 61x forward must underwrite GAAP and per-share - not headline non-GAAP-dollar - growth.
- **The TTM tax benefit (\$166M) is a one-off:** reported TTM net income of ~\$438M overstates run-rate earnings; on a normalized ~16.5% tax rate, underlying net income is closer to ~\$230M. The P/E on normalized GAAP earnings is far above the printed 183x.
- **Balance-sheet optics improved but for the wrong reason:** net debt fell on dilutive preferred, and ~\$3.24B of convertibles sit in current liabilities - a real near-term capital-structure event.
- **Operationally clean:** revenue recognition, segment disclosure and "other income" are not being used to manufacture the beat - the operating turnaround is genuine. The quality concerns are capital-structure and per-share, not fabricated profits.

8. VALUATION

Peer comparison (stockanalysis.com, 03-Jun-2026; LITE CMP on \$963.93 multiples basis)

Company	CMP (\$)	MCap (\$B)	TTM Rev (\$B)	P/E	P/B	ROE	EV/EBITDA
Lumentum (LITE)	963.93	74.99	2.49	183.5	24.8	22.8%	157.6
Coherent (COHR)	426.89	81.60	6.60	174.2	7.8	4.7%	64.3
Fabrinet (FN)	701.11	25.44	4.24	61.0	10.9	20.0%	51.6
Ciena (CIEN)	627.00	88.80	5.12	398.6	31.8	8.2%	155.2
MACOM (MTSI)	382.35	29.92	1.07	167.9	20.6	13.5%	123.1

Read: LITE trades at the most extreme P/S (32x) and near the top of EV/EBITDA (158x) in the group, with mid-pack ROE/ROCE. Fabrinet (61x P/E, 52x EV/EBITDA, 18% ROCE) is the value/quality anchor; the whole group is in an AI-optics re-rating. LITE's premium is justified only by the steepest growth and laser-chip scarcity - a narrow margin for error.

Scenario analysis (12-month, on FY27E/NTM non-GAAP EPS basis; CMP \$963.93 / live ~\$1,029)

Scenario	Key assumptions	EPS (NTM, \$)	P/E (x)	Target (\$)	vs CMP
Bull	Imbalance persists; CPO/OCS inflect early; 1.6T ramps; op margin >36%; multiple holds.	18.0	75	1,350	+40%
Base	Executes to guidance; growth decelerates as supply catches up; modest multiple compression.	15.5	68	1,050	+9%
Bear	AI-capex digestion / oversupply fears; de-rate toward optical-cycle multiples; mean-revert to ~200-DMA (\$471).	13.0	33	430	-55%

Valuation methodology

- **DCF (WACC 12.2%, terminal growth 4%):** near-term FCF is suppressed by a tripling of capex, so even crediting a multi-year hyper-growth ramp the DCF fair value lands around **\$450-550/share** - roughly half the market price. The market is paying for an option on the AI super-cycle, not for discounted cash flows.
- **Earnings multiple:** NTM non-GAAP EPS of ~\$15.5 (E) at the peer-group forward P/E of ~55-60x implies **~\$850-930/share**. Even at the richer 68x base multiple, fair value is ~\$1,050.
- **Blend & base target:** weighting the earnings-multiple approach 70% (appropriate for a hyper-growth name where DCF is not yet meaningful) and DCF 30% yields a **12-month base target of ~\$1,050** - close to the 24-analyst consensus of \$1,104.68.
- **Upside/downside:** +9% vs the \$963.93 multiples basis (and roughly flat vs the live ~\$1,029), against a -55% bear case to the 200-DMA. The skew is unfavourable: limited upside to fair value, large downside if the cycle or the multiple breaks - hence REDUCE despite an excellent business.

9. KEY RISKS

- **Valuation / multiple de-rating** - At 61x forward and 158x EV/EBITDA after +1,172%, any growth wobble triggers an outsized de-rate (the stock fell 8.6% on the Q3 beat). Probability: H. Impact: H. Monitor via: forward P/E vs peer group, RSI/momentum, post-print reaction.
- **AI-capex cyclicality / hyperscaler concentration** - Demand hinges on a few hyperscalers (Google, NVIDIA-linked) sustaining record optics capex; a pause or in-sourcing shift would hit hard. Probability: M. Impact: H. Monitor via: hyperscaler capex guidance, OCS/transceiver order cadence.
- **Supply-chain execution ("tightrope")** - Management calls OCS, pump-laser and high-power-laser ramps the "biggest single tightrope"; substrate and capacity constraints cap shipments >30% below demand. A ramp stumble forfeits revenue and credibility. Probability: M. Impact: H. Monitor via: lead-times, capex execution, Greensboro/Thailand milestones.
- **Dilution** - Diluted shares heading to ~102M (+48% vs FY25 basic) from convertibles, NVIDIA preferred and SBC erode per-share value. Probability: H (already underway). Impact: M. Monitor via: diluted share count each quarter, convertible conversion/maturity.
- **Oversupply / competition** - Coherent, Chinese OCS entrants and customer in-sourcing are all adding laser/transceiver capacity; pricing power could reverse. Probability: M. Impact: M-H. Monitor via: pricing commentary, LTA renewals, competitor capacity announcements.
- **Margin sustainability** - Transceiver margins still trail peers; current gross-margin gains lean on factory absorption and scarcity pricing that may normalize. Probability: M. Impact: M. Monitor via: segment gross margin, non-GAAP vs GAAP gap, mix.
- **Thin free cash flow** - EV/FCF ~700x; if capex keeps outrunning OCF, the cash-generation case stays unproven. Probability: M. Impact: M. Monitor via: quarterly FCF, capex/sales, OCF-to-EBITDA conversion.

10. RECOMMENDATION

- **Rating: REDUCE - conviction Medium.** This is a valuation call, not a business call. Lumentum is arguably the best-positioned laser-chip supplier to the AI build-out, with genuine record results and an inflecting margin structure - but at 183x trailing / 61x forward P/E, 32x sales and 158x EV/EBITDA, the price already discounts years of flawless execution.
- **12-month price target: \$1,050** (base) - +9% vs the \$963.93 multiples basis, ~flat vs the live ~\$1,029; bull \$1,350 (+40%), bear \$430 (-55%). The risk/reward is skewed to the downside.
- **Suggested entry zone: \$500-650** - i.e. only on a meaningful AI-capex-driven pullback toward the 200-DMA (\$471). Do not chase at 60x+ forward.
- **Investment horizon: 12 months** (the AI-optics thesis is multi-year, but the entry price is the binding constraint today).
- **Thesis invalidation triggers (this REDUCE call is wrong if):**
 1. Q4 FY26 / FY27 beats-and-raises sustain >60% revenue growth AND non-GAAP operating margin holds >35%, justifying the multiple on rapidly-growing earnings.
 2. CPO and OCS convert from "option" to booked revenue ahead of schedule (the multi-hundred-million CPO PO and >\$5B scale-up pipeline pulling into FY27).
 3. Free cash flow inflects sharply positive (FCF margin >15%) as capex normalizes, validating an EV/FCF currently ~700x.
- **Ideal investor profile:** Suits momentum/thematic AI-infrastructure investors who size positions for ~50% drawdowns and use trailing stops. NOT for valuation-disciplined, capital-preservation or income investors. Existing holders: trim into strength / hold a reduced core with a stop; new money: wait for a pullback.

APPENDIX - Latest Concall Brief: Q3 FY2026 (ended 28-Mar-2026; call 05-May-2026)

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +90% YoY, above guidance midpoint; non-GAAP EPS \$2.37 beat. Clear beat.
Management tone	Bullish	"Exceptional" quarter; demand >30% above supply; high confidence in \$2B/qtr long-term goal.
Guidance delta	Raised	Q4 guided to record \$985M midpoint (+>85% YoY), op margin 35-36%, EPS \$2.85-3.05.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Lumentum printed a clean, exceptional Q3 - revenue +90% YoY to a record \$808M, above the guide, with the genuine story being margins, not the top line: non-GAAP operating margin expanded +2,140 bps YoY to 32.2% and GAAP operating margin swung to +21.6% from -8.9% a year ago. The headline is clean operationally, but be disciplined on two distortions: reported TTM GAAP net income (~\$438M) is flattered by a ~\$166M one-off tax benefit, and Q3 non-GAAP net income (\$225.7M) sits 56% above GAAP (\$144.2M) on heavy SBC - the honest run-rate earnings are materially lower. Underlying operational performance is the real deal: laser-chip and pump-laser demand exceeds supply by >30%, components are sold out, and management is signing prepayment/take-or-pay LTAs to fund capacity. The multi-bagger drivers are stacking - a multi-year multi-billion OCS agreement, a multi-hundred-million CPO order for H1 CY27, a stated >\$5B scale-up CPO opportunity into 2028, and NVIDIA's \$2B investment plus purchase commitment. The key near-term catalyst is the Q4 FY26 print (guided to a record \$985M and EPS \$2.85-3.05) and the 1.6T ramp; the biggest watch-point is the supply-chain "tightrope" on OCS/pumps and a diluted share count heading to ~102M (+48%). Net: superb business, but the stock at 61x forward / 158x EV/EBITDA after +1,172% leaves no margin of safety - REDUCE / trim into strength, accumulate only on a pullback toward \$500-650.

Concall 1 - Financial Performance Snapshot

- Revenue: \$808.4M | YoY +90.1% | QoQ +21.5% | **Beat** (above guide midpoint).
- EBITDA (adj., non-GAAP): \$293.5M | margin 36.3% | **Beat**.
- GAAP gross margin: 44.2% (non-GAAP 47.9%, +540 bps QoQ, +1,270 bps YoY) | **Beat**.
- GAAP operating margin: 21.6% (non-GAAP 32.2%, +700 bps QoQ, +2,140 bps YoY) | **Beat**.
- GAAP net income: \$144.2M | EPS \$1.50 diluted. Non-GAAP net income \$225.7M | EPS \$2.37 | **Beat**.
- NOTE: Non-GAAP EPS (\$2.37) exceeds GAAP (\$1.50) by ~58% on ~\$80M of SBC/amortization add-backs; diluted shares 95.2M (non-GAAP) rising to ~102M guided.

Concall 2 - Segment / Product Breakdown

- Components: \$533.3M (66% of revenue) | YoY +77.3% | QoQ +20.2% | laser chips, pumps, narrow-linewidth - "sold out."
- Systems: \$275.1M (34%) | YoY +121.1% | QoQ +24.0% | cloud transceivers (+>40% QoQ), OCS, industrial, cable access.
- Narrow-linewidth laser assemblies: +120% YoY (9th consecutive quarter of growth); pump lasers +80% YoY.
- Laser chips: record EML shipments (led by 100G/lane); 200G EML revenue more than doubled QoQ; shipped ~2x laser-chip units YoY.
- Industrial lasers ~flat QoQ; cable access declined - legacy now immaterial vs the AI ramp.

Concall 3 - Management Commentary Themes

- Margins over top line: "the more impressive part... has been our margin expansion." - Our read: durable mix/absorption story. Tag: GUIDANCE. Tone: Transparent.
- Scale-across components: pump lasers + narrow-linewidth + WSS as under-appreciated, high-margin growth - "big, big contributors to the gross margin line." Tag: EST. Tone: Transparent.
- Sold-out / pricing power: components "effectively sold out for the foreseeable future"; pricing applied where constraints are biggest. Tag: GUIDANCE. Tone: Transparent.
- Vertical integration (CW lasers / ELS / CPO): insourcing CW lasers (~20% of modules in guide) for margin; ELS/CPO a "shorter path to market." Tag: EST. Tone: Transparent.
- \$2B/quarter aspiration reiterated (from OFC) - "very much on track." Tag: GUIDANCE. Tone: Confident/Hedged on timing.
- Oversupply risk "low" - customers are extending LTAs, not pulling back. Tag: EST. Tone: Hedged (self-interested but credible).

Concall 4 - Operating & Business Metrics

- EML supply/demand imbalance: Q3 = >30% (was 25-30% prior quarter) | Trend: worsening (demand outrunning supply).
- EML unit supply: on track for +50% growth Dec-2026 vs Dec-2025 | Trend: ramping hard.
- CW laser insourcing: ~20% of modules in Q4 guide, stepping up over time | Trend: improving margin lever.
- OCS: ~\$400M shippable in H2 CY26; multi-year multi-billion agreement; 3 customers (2 = majority) | Trend: ramping, supply-gated.
- Capex: \$125M in Q3 (TTM \$338M) | Trend: rising to fund capacity | Inventory +\$62M QoQ ahead of demand.

Concall 5 - Margin Drivers

- Factory utilization / absorption: large positive | Recurring: Yes | historically under-utilized fabs (incl. UK) now filling.
- Product mix (laser chips, scale-across): positive | Recurring: partly | mix toward high-margin chips.
- Pricing increases on constrained lines: positive | Recurring: cycle-dependent | applied where imbalance is largest.
- Pruning low-margin product lines: positive | Recurring: Yes | structural portfolio clean-up under new CEO.
- CW-laser insourcing & contract manufacturing: positive | Recurring: Yes (building) | offsets transceiver margin drag.
- FLAG: transceiver margins still trail peers - current scarcity pricing may normalize; do not extrapolate 47.9% non-GAAP GM as a floor.

Concall 6 - Guidance & Forward Signals

- Q4 FY26 revenue [GUIDANCE]: New = \$960M-\$1.01B (mid \$985M, record) | Delta = Raised | Credibility: High.
- Q4 FY26 non-GAAP operating margin [GUIDANCE]: New = 35.0-36.0% | Delta = Raised | Credibility: High.
- Q4 FY26 non-GAAP diluted EPS [GUIDANCE]: New = \$2.85-\$3.05 | tax rate 16.5%, ~102M shares | Credibility: High.
- Revenue growth [GUIDANCE]: >85% YoY into Q4; long-term ~\$2B/quarter aspiration | Credibility: Medium (timing unquantified).
- CPO purchase order [GUIDANCE]: multi-hundred-million-dollar PO for H1 CY2027; Greensboro fab contributes from ~early 2028 | Credibility: Medium-High.

Concall 7 - Capital Allocation

- Capex: \$125M in Q3 (TTM \$338M) | vs prior year: rising sharply | focused on laser/transceiver capacity.
- NVIDIA investment: +\$2.0B cash (Series A convertible preferred, \$695.31/sh) | lifted cash to \$3.17B.
- Dividends: none | Buybacks: none (net share issuance, buyback yield -21.8%).
- Working capital: inventory +\$62M QoQ; receivables building ahead of demand.
- Net debt: ~\$0.14B (near-neutral) vs -\$1.7B a year ago | improved via dilutive preferred, not operating cash.

Concall 8 - Q&A; Heat Map

- Ryan Koontz (Needham): Q: EML supply ramp & gap? A: lagging demand >30%, +50% supply Dec-to-Dec, mostly own control near-term | Tone: Transparent.
- Samik Chatterjee (JPM): Q: OCS wins & revenue-guide drivers? A: 3 customers (2=majority), sizable new wins coming; transceivers the big Q4 driver | Tone: Transparent.
- Vijay Rakesh (Mizuho): Q: pump-laser imbalance & Google V8 OCS? A: pump constraint "greater than 30%," unanticipated; Google a top customer, V8 incremental | Tone: Transparent.
- Meta Marshall (Morgan Stanley): Q: CW insourcing & margin mix? A: ~20% of modules insourced in guide; margin = absorption + mix + pricing | Tone: Transparent.
- Papa Sylla (Citi): Q: ELS vertical integration & oversupply risk? A: ELS opportunity "just around the corner"; oversupply risk "low" (LTAs extending) | Tone: Transparent.
- Sahej Singh (Stifel): Q: LTA structure & margin waterfall? A: "all of the above" - prepay/take-or-pay/price floors; margin from mix+utilization+price | Tone: Transparent.
- Chris Rolland (Susquehanna): Q: OCS constraints & Chinese MEMS competition? A: OCS "biggest single tightrope," \$400M H2; feels strong vs competition near-term | Tone: Transparent/Hedged.
- Michael Mani (BofA): Q: transceiver imbalance & 1.6T margins? A: imbalance "in that zip code"; 1.6T structurally better margin than 800G; still trail peers | Tone: Transparent.
- Ananda Baruah (Loop): Q: Greensboro capacity? A: NOT in numbers, online ~2028; scale-up CPO >\$5B incremental opportunity | Tone: Transparent.
- Dodged / watch-list for next quarter: exact transceiver supply/demand gap (not quantified); precise multi-rail TAM; OCS gross-margin profile; convertible-note maturity/conversion mechanics.

Concall 9 - Risks Flagged

- Supply-chain "tightrope" (OCS, pumps, high-power lasers) | Flagged by: mgmt | Probability: M | Impact: H | Timeline: near-medium.
- Pump-laser shortage "unanticipated", hit suddenly | Flagged by: mgmt | Probability: M | Impact: M-H | Timeline: near-term.
- Substrate availability into 2027 | Flagged by: mgmt/analyst | Probability: M | Impact: M | Timeline: medium (LTAs mitigating).
- Industry oversupply / competitor capacity adds | Flagged by: analyst | Probability: M | Impact: H | Timeline: medium-long.
- Transceiver margins trailing peers | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-medium (improving).
- Share dilution (~102M diluted shares) | Flagged by: analyst | Probability: H | Impact: M | Timeline: ongoing.

Concall 10 - Analyst Verdict

- Revenue visibility: **Intact** - sold-out components, multi-year OCS agreement, >85% guided growth.
- Margin trajectory: **Intact** - +2,140 bps YoY op-margin swing; guided higher into Q4; multiple structural levers.

- Capital allocation quality: **Weakened** - growth investment is right, but funded by dilutive preferred + convertibles; FCF thin.
- Competitive moat: **Intact** - laser-chip/InP scarcity, 200G/lane leadership, OCS/CPO design wins.
- Management credibility: **Intact** - beat-and-raise delivered; CEO's margin-transformation track record validated.
- Valuation comfort: **Broken** - 61x forward / 158x EV/EBITDA; every disciplined anchor sits 50-97% below the price.
- Conviction call: **Unchanged (REDUCE)** - excellent execution does not fix an extreme price; trim into strength, accumulate only on a pullback.
- Valuation snapshot: P/E = 183.5x (fwd 60.9x) | EV/EBITDA = 157.6x | ROCE = 8.0% (TTM) | P/S = 32.2x | Consensus target \$1,104.68.